

PLANNING AS PER TAXES

Let us get down to the part we have been waiting for so long, i.e. to begin planning for our assets and complete the Lazy Financial Plan. The very first thing that we will do is plan assets as per taxes. We will understand how we will plan our taxes as per the old tax regime and tie them up to financial goals. Those opting for the new tax regime can skip this step altogether as no tax deductions and exemptions are allowed under the new tax regime introduced in Budget 2020. In the case of the old regime, we will have to follow this step carefully.

Sometimes people make the mistake of investing with the sole objective of saving taxes, irrespective of whether or not it meets their financial goals and suits their financial circumstances. What they should do is focus on meeting the financial goals and thus try and save taxes. However, there also will come circumstances where we let go of tax benefit assets to plan better for our financial goals. Tax saving and financial goals should go hand in hand and tax benefits should only be exercised if they help us meet our financial goals.

